13
Examining documents

Learning objectives

This chapter is focused on the handling and examination of documents under documentary credits.

By the end of this chapter, you should be able to:

- explain the role of banks in examining documents;
- describe preliminary examination tasks and techniques; and
- explain the general practices that relate to the examination of documents.

13.1 Introduction

To develop an understanding of what is considered to represent international standard banking practice in the examination of documents, the ICC Banking Commission published the ISBP, first in 2003 (ISBP 645), then in an updated form in 2007 (ISBP 681), and in a revised form in 2013 (ISBP 745), to explain how the practices articulated in the UCP are to be applied by documentary credit practitioners.

This chapter details the role of the document examiner in the examination of documents. The principles are the same whether the document examiner is working for a nominated, confirming or issuing bank.

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13.2 Preliminary tasks

The examination tasks that a document examiner performs will reflect the requirements of his or her role specific to the designation of his or her bank in the documentary credit transaction. In performing the examination, the document examiner should consider the following.

13.2.1 Recording

With regards to individual documents received (including copies), a document examiner should ensure that the documents are as indicated on the covering schedule or letter – that is, in terms of both type and number of originals or copies.

In terms of date and time of receipt, a document examiner should ensure that both have been recorded clearly on the schedule, letter or compliments slip and on internal bank systems.

13.2.2 The schedule or letter enclosing the documents

A presentation of documents is usually accompanied by:

- a document schedule issued by a bank based overseas or locally;
- a covering letter from the presenter, usually the beneficiary; or
- a compliments slip or unidentified slip of paper attached to the documents.

A document examiner usually has little difficulty with schedules issued by banks.

If the presenter has no customer relationship with the bank, and is not a name known to the document examiner, there may be internal guidelines that need to be followed in the case of a covering letter from that presenter.

With regard to the use of a compliments slip or unidentified slip of paper, a document examiner may need to consider how an effective line of communication can be established with the presenter. Internal guidelines will need to be followed.

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13.2.3 The availability of the documentary credit

A document examiner must ascertain that the documentary credit number is correct, that the credit is available with the bank for presentation, honour or negotiation (appropriate when the bank is not the issuing bank), and that:

- the documentary credit has not expired;
- the amount available is sufficient;
- previous drawings, if any, appear to be correctly recorded;
- the documentary credit is available for the goods and prices covered by the presentation; and
- all amendments are identified and recorded correctly.

In the case of a presentation for which the documentary credit has been advised through another bank, a document examiner must make inquiries with that bank to ensure that all amendments have been presented.

13.2.4 Settlement or payment instructions

A document examiner must ascertain whether the covering schedule, letter, compliments slip or unidentified slip of paper has given clear instructions regarding:

- settlement – that is, where payment should be sent and how;
- whether settlement has already been made as a result of an earlier reimbursement claim;
- charges being claimed by a presenting bank, if any; and
- advice of payment – that is, how this should be sent.

13.2.5 Discrepancies noted by the presenter

A document examiner should look to see whether the presenter has noted any discrepancies. Where discrepancies are noted, the document examiner is still required to make its own determination of whether or not the documents comply. Additional comments (such as that the discrepancies have been agreed between the applicant and the beneficiary) should be disregarded unless the issuing bank has already forwarded approval of such discrepancies.

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13.2.6 Reviewing the documentary credit

Prior to commencing the examination of the documents, a document examiner should read the documentary credit and any amendments thereto, to become familiar with its terms and conditions.

13.2.7 The characteristics of the documentary credit and payment terms

A document examiner should ascertain whether the documentary credit is available at the counters of his or her bank and whether it is available by:

- sight payment;
- deferred payment;
- sight negotiation;
- usance negotiation; or
- acceptance.

He or she should also assess whether it is:

- a transferable credit;
- subject to a back-to-back arrangement;
- a revolving credit;
- a standby letter of credit; or
- (rarely) a revocable credit.

Once the documents are found to be compliant, a document examiner must compare the presenter's settlement request with the documentary credit terms in order to determine whether it can be complied with.

In respect of transferable, back-to-back arrangement, revolving, standby or revocable documentary credit types, a document examiner should check any internal operational guidelines and the relevant files to ascertain whether the bank can comply with the requested settlement terms.

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13.2.8 Completing the bank's document examination record

It is common for a bank to use a document examination record as part of its internal process. This record, which may vary in terms of design and the extent of its detail, is aimed at providing a history of everything that occurs to the presentation, from the date of presentation through to either settlement or refusal. For most banks, these records will be maintained within the back-office systems that are used for the issuance, advising and settlement of documentary credits.

The essential fields that must be populated relate to:

- details of the documentary credit number, amount, expiry and latest shipment date;
- details of discrepancies ascertained on examination;
- brief notes on discussions or other communications with the beneficiary or presenting bank; and
- settlement terms.

In discussions with third parties, senior management and legal advisers, and in any possible litigation, a document examiner can find the bank's document examination record of primary importance.

The essential fields of a paper-based document examination record can be illustrated as follows (the example being a presentation for £22,495 under a documentary credit).

Documentary credit and details of presentation

Documents received: 22 Mar 20XX 10.40am [examiner's initial]

Presenter: ABC Ltd TLX TEL Contact: Mr xxxxx Export Manager

Presenter's ref.: Exp ABC 19982

Credit no.: 123456 Issuing Bank CIB validity 30 Apr 20XX *discrepancy?*

Amount of credit: GBP 100,000

Amount available: GBP 22,500 Amount of presentation: GBP 22,495

Shipment expiry: 15 Apr 20XX No. of days for presentation: 15 days *discrepancy?*

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Date of shipment:

BL/AWB 14 Mar 20XX

List of discrepancies

23 Mar 20XX

i. Description of goods not as per credit (does not show NEW)

ii. Insurance policy does not specifically indicate coverage for WAR risk

iii. Weight list shows gross weight as 13,746kgs, whereas bill of lading shows 13,546kgs

Rejection notified to Mr xxxxx Export Manager by telephone on 24 Mar 20XX at PM.

Confirmed by telex / letter / fax on 24 Mar 20XX (strikethrough two of options)

Discussions with Mr xxxxx Export Manager who advises

'sending amended invoices for (i)' since rcvd 27 Mar 20XX

'requests we contact issuing bank for authority for (ii)' sent 27 Mar 20XX

'sending amended weight list for (iii)' rcvd 27 Mar 20XX

Settlement terms and charges

Pay UK Clearing Bank Ltd at …

A/c ABC Ltd Ref. EXP ABC 19982

Deduct charges ADV

Special instruction

YES NO

Other details TRANSFERABLE X

REVOLVING X

BACK-TO-BACK X

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13.3 Examining the documents

A document examiner should examine the documents systematically, following a procedure that includes:

- examination of the documents with reference to the documentary credit, including accepted amendments;
- examination of the documents with reference to the applicable articles of UCP 600; and
- examination of the documents with reference to one another.

A nominated bank acting on its nomination, a confirming bank and the issuing bank each has a maximum of five banking days following the day of presentation to determine whether a presentation is complying. It should be noted that if documents are presented within five banking days of the expiry date, a bank is not required to accelerate the examination process for that presentation (UCP 600, sub-article 14(b)).

13.3.1 Examining the documents against the documentary credit

Documentary credits are generally transmitted as a SWIFT MT700 message, occasionally with an MT701 message where there is a large amount of data, although they may also be issued either in telex or letter form. If the documentary credit is sent by SWIFT message, it will be in a structured format, with fields designated for each type of data content. The layout of a documentary credit issued by telex or letter may not be so consistent in its structure.

Key field data designators, as extracted from the SWIFT MT700 format specification, are as follows and, where appropriate, comment is made on what a document examiner should be reviewing.

1. **Form of credit (40A)**
   The type and characteristics of the documentary credit – that is, whether it is irrevocable, transferable or a standby – is indicated here. While UCP 600 does not specifically recognise revocable documentary credits, such credits may be issued subject to UCP 600 and must incorporate all the conditions of the revocability.

2. **Documentary credit number (20)**
   This is the number assigned to the documentary credit by the issuing bank.

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3. **Date of issue (31C)**
   Is there a stipulation in the documentary credit indicating that one (or more) of the documents dated prior to the issue date is (are) not acceptable? (If no date is indicated, the date of issue of the documentary credit is the date of the message.) A document examiner should refer to **UCP 600, sub-article 14(i)**, in respect of dating of documents.

i. A document may be dated prior to the issuance date of the credit, but must not be dated later than its date of presentation.

4. **Applicable rules (40E)**
   The rules that are applicable to the documentary credit must be specified here. Depending on whether the UCP 600, or ISP98, or eUCP, and URR are applicable, this will read 'UCPLATESTVERSION', 'EUCPLATESTVERSION', 'UCPURRLATESTVERSION', 'EUCPURRLATESTVERSION', 'ISP LATESTVERSION' or 'OTHER' (reference to 'LATESTVERSION' being the rules in operation on the date of issuance of the documentary credit or standby credit). Use of the word 'OTHER' will signify that the UCP 600 and ISP98 do not apply to the transaction, in which case the documentary credit should indicate in Field 47A of the SWIFT message the applicable rules or law.

5. **Date and place of expiry (31D)**

- **Date of expiry** – presentation must be made on or before the date stipulated other than as provided for in **UCP 600, sub-article 29(a)**.

a. If the expiry date of a credit or the last day for presentation falls on a day when the bank to which presentation is to be made is closed for reasons other than those referred to in article 36, the expiry date or the last day for presentation, as the case may be, will be extended to the first following banking day.

- **Place of expiry** – the place of expiry should be that of the bank(s) with which the documentary credit is available. It may also be the place (country) of the issuing bank.

6. **Applicant (50)**
   This will be the name of the entity that has requested the issuance of the documentary credit.

7. **Beneficiary (59)**
   This field will be populated with the name of the party in whose favour the documentary credit has been issued.

   Unless the documentary credit stipulates otherwise, invoices must be made out in the name of the applicant and be issued by the named beneficiary, except where the documentary credit is transferred

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(in which case an invoice may also be issued by the named second beneficiary).

8. **Credit amount (32B, 39A, 39B and 39C)**
   Percentage tolerance and qualifications such as 'up to', 'maximum' and 'not exceeding' are shown in these fields. A document examiner must ascertain that values and quantities are within any stated tolerances, and that the drawing is in line with the documentary credit amount.

9. **Available with and by (41a)**
   This field identifies the bank authorised to pay, accept, incur a deferred payment undertaking or negotiate. It may also indicate that any bank is so authorised. A document examiner is to ensure that his or her bank is a nominated bank if other than the issuing bank.

10. **Drafts (42C and 42a)**
    A document examiner must examine whether drafts, if required, are drawn as specified in the documentary credit. The amount should be the invoice amount unless there is a stipulation indicating otherwise. The drafts should be endorsed, if necessary, and evidence any additional wording as specifically required by the documentary credit, and the amounts expressed in figures and words should agree.

11. **Partial shipments (43P)**
    If partial shipments are prohibited, a document examiner must determine whether the documents are consistent with a full shipment and / or a full drawing, and (unless otherwise stipulated) whether, if applicable, the amount and goods are within the 5 per cent tolerance indicated in **UCP 600, sub-article 30** ('Tolerance in Credit Amount, Quantity and Unit Prices').

a. The words "about" or "approximately" used in connection with the amount of the credit or the quantity or the unit price stated in the credit are to be construed as allowing a tolerance not to exceed 10% more or 10% less than the amount, the quantity or the unit price to which they refer.

b. A tolerance not to exceed 5% more or 5% less than the quantity of the goods is allowed, provided the credit does not state the quantity in terms of a stipulated number of packing units or individual items and the total amount of the drawings does not exceed the amount of the credit.

c. Even when partial shipments are not allowed, a tolerance not to exceed 5% less than the amount of the credit is allowed, provided that the quantity of the goods, if stated in the credit, is shipped in full and a unit price, if stated in the credit, is not reduced or that sub-article 30 (b) is not applicable. This tolerance does not apply when the credit stipulates a specific tolerance or uses the expressions referred to in sub-article 30 (a).

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If partial shipments are allowed, the drawing, if it is in respect of a second or subsequent shipment, must be consistent with the amount and quantity of goods that are remaining, and any unit prices, if any.

12. **Transhipment (43T)**
A document examiner must ascertain whether transhipment is prohibited, and if so, a bill of lading, for example, must not evidence unloading and reloading from one vessel to another during the course of ocean carriage from the port of loading to the port of discharge mentioned in the documentary credit, unless shipment is effected in a container(s), trailer(s) or LASH barge(s) and the entire carriage is covered by one and the same bill of lading. A document examiner must examine the transport document against the rule under the applicable transport article in UCP 600.

13. **Place of taking in charge / ports / airports / place of delivery (44A, 44E, 44F and 44B)**
A document examiner must examine the transport document against the stipulations in the documentary credit, and the detailed rules made under the respective UCP 600 transport article and the applicable paragraphs of ISBP 745. Terms used include 'place of taking in charge / dispatch from / … place of receipt', 'port of loading / airport of departure', 'port of discharge / airport of destination' and / or 'place of final destination / for transportation to … / place of delivery'.

A document examiner must be especially vigilant regarding any reference on the transport document to an intended vessel or an intended port of loading. If such references have been made on a bill of lading, for example, then a dated on-board notation is required containing the name of the vessel and the port of loading, or the word 'intended' is to be deleted and the correction authenticated by the carrier or its agent.

14. **Latest date of shipment (44C)**
A document examiner must ensure that the transport document is not dated after the date stipulated in this field or, if no date is shown, after the expiry date of the documentary credit.

15. **Description of goods (45A)**
A document examiner must ensure that the wording of the description of goods on the invoice corresponds with that shown on the documentary credit (UCP 600, sub-article 18(c)).

Further, a document examiner must ensure that other stipulated documents do not contain a goods description that conflicts with that shown on the invoice or the documentary credit. When a goods description is shown on other stipulated documents, it may be given in general terms not conflicting with the description in the documentary

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credit (UCP 600, sub-article 14(e)). Any shipment terms or Incoterms stipulated as part of the goods description should be evidenced on the invoice.

16. **Documents required (46A)**
This field describes the documentary requirements. A document examiner must:

- ◆ read the requirements in this field in relation to all documents; and
- ◆ read any requirements elsewhere in the documentary credit.

The following review points, where appropriate, should not be overlooked.

For a transport document, the examiner should check:

- ◆ the on board notation;
- ◆ that the on board notation also includes the vessel name and port of loading (where necessary);
- ◆ the port of loading and port of discharge;
- ◆ any qualifications about defective goods or packaging;
- ◆ any shipping marks;
- ◆ that it is not a charter party document (unless specifically required or allowed);
- ◆ that the goods description is not in conflict with that on other documents; and
- ◆ that there is no data in conflict with data shown elsewhere within that document, or within any other stipulated document or the documentary credit.

An insurance document must:

- ◆ not be a cover note;
- ◆ be presented in the form of a policy, where it is so stipulated;
- ◆ (when the documentary credit is silent as to the assured party) be issued or endorsed in favour of the applicant or issuing bank, or endorsed in blank by the named assured;

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- cover the risks as stipulated in the documentary credit and show them specifically on its face;
- feature a date on which cover is effective that is no later than the date of shipment indicated on the transport document; and
- not contain any data in conflict with data shown elsewhere within that document, or within any other stipulated document or the documentary credit.

For other documents, the examiner must:

- examine them against the stipulations in the documentary credit;
- check that they have been issued by the named party, as may be stipulated;
- check that the data content, if stipulated, complies with that in the documentary credit; and
- ensure that they do not contain any data in conflict with data shown elsewhere within that document, or within any other stipulated document or the documentary credit.

17. **Additional conditions (47A)**
A document examiner must review any additional conditions against the stipulated documents. If no document is stipulated, the condition must be considered as not stated and should be disregarded. Attention is drawn to **UCP 600, sub-article 14(h)**.

> **h.** If a credit contains a condition without stipulating the document to indicate compliance with the condition, banks will deem such condition as not stated and will disregard it.

18. **Period for presentation (48)**
A document examiner must determine that if a period is stipulated in this field, the presentation has been made within such period after the date of shipment or date of a document or event. Attention is drawn to **UCP 600, sub-article 14(c)**, for the default period when no presentation period is specified.

> **c.** A presentation including one or more original transport documents subject to articles 19, 20, 21, 22, 23, 24 or 25 must be made by or on behalf of the beneficiary not later than 21 calendar days after the date of shipment as described in these rules, but in any event not later than the expiry date of the credit.

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19. **Confirmation instructions (49)**
    A document examiner must ascertain whether there was a request or authorisation for confirmation to be added and what was the name of the confirming bank, if other than his or her bank, along with whether confirmation has been added, and if so, whether confirmation has been extended to all amendments, if any (UCP 600, article 8, and sub-article 10(b)). If the document examiner's bank has added confirmation to the credit, the document examiner should review the advice of confirmation and any amendments to ascertain the scope of the confirmation that has been added.

20. **Reimbursing bank (53a)**
    A document examiner must ascertain whether this field features the name of a bank from which reimbursement is to be obtained and the manner in which it is to be obtained. He or she should determine whether the method is consistent with the payment that is being requested by the beneficiary. If reference is made in Field 40E to URR, then those rules will apply to the documentary credit; otherwise, UCP 600, sub-articles 13(b) and (c) will apply.

21. **Charges (71B)**
    The documentary credit should stipulate from whom charges are to be recovered.

13.3.2 Examining the documents against any amendments

If a documentary credit has been amended, a document examiner should examine the documents against the amended terms, unless the beneficiary has given prior notification of the rejection of such amendment(s) or, from the presentation of documents, it can be ascertained that it has rejected one or more amendments or, it becomes apparent that an amendment is not being applied to the presentation under review but, possibly, will be applied to a subsequent presentation.

If a document examiner is acting for a confirming bank, additional care should be taken to ascertain whether or not confirmation has been extended to the amendment. If it has not been extended, the confirming bank will not be bound by the amended terms, even though the documents presented may be in compliance with such terms.

If a document examiner is acting for a nominated bank and documents are presented under a documentary credit that is available with any bank, he or she should contact the advising bank (if different from his or her own bank) to establish that full details of the documentary credit and amendments are held before performing the document examination.

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UCP 600, article 10, covers amendments, including:

- the need to obtain the agreement of all parties to a documentary credit before it can be amended or cancelled;
- when an amendment becomes binding on the issuing bank and a confirming bank (if any);
- the option that the confirming bank has to decline to extend its confirmation to the terms of an amendment;
- the need for the beneficiary to communicate acceptance or rejection of an amendment;
- the sufficiency of presentation of documents conforming to the documentary credit, and not previously accepted amendments, as notification of such acceptance;
- the need for any notification of acceptance or rejection of amendments to be advised to an issuing bank;
- the need for acceptance or rejection of an amendment in its entirety;
- the absence of time limits that may be applied with regard to the effectiveness of an amendment.

13.3.3 Examining documents against UCP 600

As well as examining documents with reference to the terms and conditions of the documentary credit, a document examiner must also take into account the relevant provisions of UCP 600.

13.3.3.1 The standards for examination of documents

A number of standards for the examination of documents are set out in UCP 600, article 14. **UCP 600, sub-article 14(c)**, indicates that if no time limit is stipulated in the documentary credit, a period of 21 calendar days after the date of shipment is allowed for the presentation of documents that contain an original transport document.

> **c.** A presentation including one or more original transport documents subject to articles 19, 20, 21, 22, 23, 24 or 25 must be made by or on behalf of the beneficiary not later than 21 calendar days after the date of shipment as described in these rules, but in any event not later than the expiry date of the credit.

Uncertain terms, such as 'stale bills of lading are acceptable', should not be included in the terms of a documentary credit.

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ISBP 745, paragraph A19(b), provides an interpretation if such a term is used.

> b. "stale documents acceptable" – documents may be presented later than 21 calendar days after the date of shipment as long as they are presented no later than the expiry date of the credit. This will also apply when the credit specifies a period for presentation together with the condition "stale documents acceptable".

Note that UCP 600, sub-article 14(c), applies only to a documentary credit that requires presentation of an original transport document.

The content of UCP 600, sub-article 14(e), is further amplified in ISBP 745, paragraphs D26, E22, F20, G20, H22 and J17.

The content of UCP 600, sub-article 14(l), is further amplified in ISBP 745, paragraphs D3(a), E3(a), F2(a) and H3(a).

If errors occur in a presentation, there is always the potential for conflict, regardless of how insignificant the error appears to be. In this context, **ISBP 745, paragraph A23**, states that an obviously mis-spelled word or typing error does not need to be raised as a discrepancy.

> A misspelling or typing error that does not affect the meaning of a word or the sentence in which it occurs does not make a document discrepant. For example, a description of the goods shown as "mashine" instead of "machine", "fountan pen" instead of "fountain pen" or "modle" instead of "model" would not be regarded as a conflict of data under UCP 600 sub-article 14 (d). However, a description shown as, for example, "model 123" instead of "model 321" will be regarded as a conflict of data under that sub-article.

'On their face' The doctrine of examination of documents 'on their face' and 'on the basis of the documents alone' is included in **UCP 600, sub-article 14(a)**.

> **a.** A nominated bank acting on its nomination, a confirming bank, if any, and the issuing bank must examine a presentation to determine, on the basis of the documents alone, whether or not the documents appear on their face to constitute a complying presentation.

It means that the decision as to whether the documents comply with the terms and conditions of a documentary credit is based exclusively upon the bank's visual examination of the documents. It cannot encompass someone

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else's understanding of it, nor information obtained from elsewhere. The phrase 'on their face' does not refer to a simple front versus the back of the document, but extends to the review of data within a document in order to determine that a presentation complies with international standard banking practice and the principles contained in UCP.

International standard banking practice International standard banking practice is represented by the content and the provisions of UCP 600. It is supported by the explanations given in ISBP 745. This section outlines the more generic aspects of document examination practices, which are not specific to any particular article or document. In this respect, a document examiner should apply the content of the following ISBP paragraphs as and when required by the documentation, and where local law does not compel a different practice.

ISBP 745, paragraphs A1 and A2, consider abbreviations and the use of virgules or commas.

A1) Generally accepted abbreviations, such as, but not limited to, "Int"l" instead of "International", "Co." instead of "Company", "kgs" or "kos" instead of "kilograms" or "kilos", "Ind." instead of "Industry", "Ltd" instead of "Limited", "mfr" instead of "manufacturer" or "mt" instead of "metric tons" may be used in documents in substitution for a word or vice versa. A credit that includes an abbreviation in its text allows a document to show the same abbreviation or any other abbreviation that has the same meaning, or to show the complete spelling of the word or vice versa.

A2) a. Virgules (i.e., slash marks "/") may result in different meanings and should not be used as a substitute for a word. If, nevertheless, a virgule is used and no context is apparent, this will allow the use of one or more of the options. For example, a condition in a credit stating "Red/Black/Blue" with no further clarification will mean only Red or only Black or only Blue or any combination of them.

b. The use of a comma when indicating a range of data in a credit such as ports of loading or discharge or countries of origin, may result in different meanings and should not be used as a substitute for a word. If, nevertheless, a comma is used and no context is apparent, this will allow the use of one or more of the options. For example, when a credit allows partial shipment and indicates the port of loading information as "Hamburg, Rotterdam, Antwerp" with no further clarification, this will mean only Hamburg or only Rotterdam or only Antwerp or any combination of them.

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ISBP 745, paragraphs A3–A5, relate to certificates, certifications, declarations and statements.

A3) When a certificate, certification, declaration or statement is required by a credit, it is to be signed.

A4) Whether a certificate, certification, declaration or statement needs to be dated will depend on the type of certificate, certification, declaration or statement that has been requested, its required wording and the wording that appears within the document.

For example, when a credit requires the presentation of a certificate issued by the carrier or its agent stating that the vessel is no more than 25 years old, the certificate may evidence compliance by indicating:

a. the date or year the vessel was built, and such date or year is no more than 25 years prior to the date of shipment or the year in which shipment was effected, in which case a date of issuance is not necessary, or

b. the wording as stated in the credit, in which case a date of issuance is required, thereby certifying that as of that date the vessel was not more than 25 years old.

A5) When a certification, declaration or statement is to appear in a document which is to be signed and dated, it does not require a separate signature or date when the certification, declaration or statement appears to have been given by the same entity that issued and signed the document.

ISBP 745, paragraph A6, explains the examination requirements when a documentary credit requires the presentation of only a copy of a transport document, with the originals being disposed of to the applicant, issuing bank or other named entity.

a. When a credit requires the presentation of a copy of a transport document covered by UCP 600 articles 19–25, the relevant article is not applicable, as these articles only apply to original transport documents. A copy of a transport document is to be examined only to the extent expressly stated in the credit, otherwise according to UCP 600 sub-article 14 (f).

b. Any data shown on a copy of a transport document, when read in context with the credit, the document itself and international standard banking practice, need not be identical to, but must not conflict with, data in that document, any other stipulated document or the credit.

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c. Copies of transport documents covered by UCP 600 articles 19–25 are not subject to the default presentation period of 21 calendar days stated in UCP 600 sub-article 14 (c) or any presentation period stated in the credit, unless the credit explicitly states the basis for determining such presentation period. Otherwise, a presentation may be made at any time, but in any event no later than the expiry date of the credit.

ISBP 745, paragraphs A7–A9, explain the standard practice should any documents contain corrections and alterations

A7) a. i. Any correction of data in a document issued by the beneficiary, with the exception of drafts (see paragraph B16), need not be authenticated.

ii. When a document issued by the beneficiary has been legalized, visaed, certified, etc., any correction of data is to be authenticated by at least one of the entities that legalized, visaed or certified, etc., the document. Such authentication is to indicate the name of the entity authenticating the correction either by use of a stamp incorporating its name, or by the addition of the name of the authenticating entity accompanied by its signature or initials.

b. i. Any correction of data in a document, other than in a document issued by the beneficiary, is to appear to have been authenticated by the issuer or an entity acting as agent, proxy or for [or on behalf of] the issuer. Such authentication is to indicate the name of the entity authenticating the correction either by use of a stamp incorporating its name, or by the addition of the name of the authenticating entity accompanied by its signature or initials. In the case of authentication by an agent or proxy, the capacity of acting as agent or proxy for [or on behalf of] the issuer is to be stated.

ii. When a document other than one issued by the beneficiary has been legalized, visaed, certified, etc., any correction of data is, in addition to the requirements of paragraph A7 (b) (i), to be authenticated by at least one of the entities that legalized, visaed or certified, etc., the document. Such authentication is to indicate the name of the entity authenticating the correction either by use of a stamp incorporating its name, or by the addition of the name of the authenticating entity accompanied by its signature or initials.

c. Any correction of data in a copy document need not be authenticated.

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A8) When a document other than one issued by the beneficiary contains more than one correction, either each correction is to be authenticated separately, or one authentication is to indicate that it applies to all the corrections. For example, when a document issued by XXX shows three corrections numbered 1, 2 and 3, one statement such as 'Correction numbers 1, 2 and 3 authenticated by XXX' or similar, together with the signature or initials of XXX, will satisfy the requirement for authentication.

A9) The use of multiple type styles, font sizes or handwriting within the same document does not, by itself, signify a correction.

ISBP 745, paragraphs A11–A16, relate to dates.

A11) a. Even when a credit does not expressly so require:

i. drafts are to indicate a date of issuance;

ii. insurance documents are to indicate a date of issuance or effectiveness of the insurance coverage as reflected in paragraphs K10 (b) and K11; and

iii. original transport documents, subject to examination under UCP 600 articles 19–25, are to indicate a date of issuance, a dated on board notation, a date of shipment, a date of receipt for shipment, a date of dispatch or carriage, a date of taking in charge or a date of pick up or receipt, as applicable.

b. A requirement that a document, other than a draft, insurance document or original transport document, be dated will be satisfied by the indication of a date of issuance or by reference in the document to the date of another document forming part of the same presentation (for example, by the wording "date as per bill of lading number xxx" appearing on a certificate issued by a carrier or its agent) or a date appearing on a stipulated document indicating the occurrence of an event (for example, by the date of inspection being indicated on an inspection certificate that otherwise does not contain a date of issuance).

A12) a. A document, such as, but not limited to, a certificate of analysis, inspection certificate or fumigation certificate, may indicate a date of issuance later than the date of shipment.

b. When a credit requires a document to evidence a pre-shipment event (for example, "pre-shipment inspection certificate"), the document, either by its title, content or date of issuance, is to

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indicate that the event (for example, inspection) took place on or prior to the date of shipment.

c. When a credit requires a document such as, but not limited to, an "inspection certificate", this does not constitute a requirement that the document is to evidence a pre-shipment event, and it need not be dated prior to the date of shipment.

A13) A document indicating a date of issuance and a later date of signing is deemed to have been issued on the date of signing.

A14) a. When a credit uses phrases to signify time on either side of a date or an event, the following shall apply:

i. "not later than 2 days after (date or event)" means a latest date. If an advice or document is not to be dated prior to a specified date or event, the credit should so state.

ii. "at least 2 days before (date or event)" means that an act or event is to take place not later than 2 days before that date or event. There is no limit as to how early it may take place.

b. i. For the purpose of calculation of a period of time, the term "within" when used in connection with a date or event excludes that date or the event date in the calculation of the period. For example, "within 2 days of (date or event)" means a period of 5 days commencing 2 days prior to that date or event until 2 days after that date or event.

ii. The term "within" when followed by a date or a reference to a determinable date or event includes that date or event date. For example, "presentation to be made within 14 May" or "presentation is to be made within credit validity (or credit expiry)" where the expiry date of the credit is 14 May, means 14 May is the last day upon which presentation is allowed, provided that 14 May is a banking day.

A15) The words "from" and "after" when used to determine a maturity date or period for presentation following the date of shipment, the date of an event or the date of a document, exclude that date in the calculation of the period. For example, 10 days after the date of shipment or 10 days from the date of shipment, where the date of shipment was 4 May, will be 14 May.

A16) Provided that the date intended can be determined from the document or from other documents included in the presentation, dates may be expressed in any format. For example, the 14th of May 2013 could be expressed as 14 May 13, 14.05.2013, 14.05.13, 2013.05.14, 05.14.13, 130514, etc. To avoid any risk of ambiguity, it is recommended that the month be stated in words.

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ISBP 745, paragraph A17, explains that although a document may have a box, field or space in which data is to be inserted, it need not be populated.

> The fact that a document has a box, field or space for data to be inserted does not necessarily mean that such box, field or space is to be completed. For example, data are not required in the box titled "Accounting Information" or "Handling Information" commonly found on an air waybill. Also see paragraph A37 in respect of the requirements for a signature to appear in any box, field or space.

ISBP 745, paragraph A18, refers to a transport document other than those mentioned in UCP 600, articles 19–25, and the examination requirements for those documents, including the determination of a presentation period.

> a. Documents commonly used in relation to the transportation of goods, such as but not limited to, Delivery Note, Delivery Order, Cargo Receipt, Forwarder's Certificate of Receipt, Forwarder's Certificate of Shipment, Forwarder's Certificate of Transport, Forwarder's Cargo Receipt and Mate's Receipt are not transport documents as defined in UCP 600 articles 19–25. These documents are to be examined only to the extent expressly stated in the credit, otherwise according to UCP 600 sub-article 14 (f).
>
> b. i. For documents referred to in paragraph A18 (a), a condition of a credit that presentation is to occur within a certain number of days after the date of shipment will be disregarded, and presentation may be made at any time, but in any event no later than the expiry date of the credit.
>
> ii. The default presentation period of 21 calendar days stated in UCP 600 sub-article 14 (c) only applies to a presentation including one or more original transport documents covered by UCP 600 articles 19–25.
>
> c. For a presentation period to apply to a document referred to in paragraph A18 (a), the credit should specify that presentation is to be made within a certain number of days after the issuance date of the respective document, or a date that is to be mentioned in the document (for example, when a credit requires the presentation of a document titled cargo receipt, "documents to be presented no later than 10 days after the date of the cargo receipt").

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ISBP 745, paragraph A19, covers words and expressions that should not be used in documentary credits, but which in practice are still seen by a document examiner. There is no definition of their meaning in UCP 600.

> The expressions "shipping documents", "stale documents acceptable", "third party documents acceptable", "third party documents not acceptable", "exporting country", "shipping company" and "documents acceptable as presented" should not be used in a credit, as they are not defined in UCP 600. If, nevertheless, they are used, and their meaning is not defined in the credit, they shall have the following meaning under international standard banking practice:
>
> a. "shipping documents" – all documents required by the credit, except drafts, teletransmission reports and courier receipts, postal receipts or certificates of posting evidencing the sending of documents.
>
> b. "stale documents acceptable" – documents may be presented later than 21 calendar days after the date of shipment as long as they are presented no later than the expiry date of the credit. This will also apply when the credit specifies a period for presentation together with the condition "stale documents acceptable".
>
> c. "third party documents acceptable" – all documents for which the credit or UCP 600 do not indicate an issuer, except drafts, may be issued by a named person or entity other than the beneficiary.
>
> d. "third party documents not acceptable" – has no meaning and is to be disregarded.
>
> e. "exporting country" – one of the following: the country where the beneficiary is domiciled, the country of origin of the goods, the country of receipt by the carrier or the country from which shipment or dispatch is made.
>
> f. "shipping company" – when used in the context of the issuer of a certificate, certification or declaration relating to a transport document – any one of the following: carrier, master or, when a charter party bill of lading is presented, the master, owner or charterer, or any entity identified as an agent of any one of the aforementioned, regardless of whether it issued or signed the presented transport document.
>
> g. "documents acceptable as presented" – a presentation may consist of one or more of the stipulated documents provided they are presented within the expiry date of the credit and the drawing amount is within that which is available under the credit. The documents will not otherwise be examined for compliance under the credit or UCP 600, including whether they are presented in the required number of originals or copies.

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ISBP 745, paragraph A20, describes the practice for identifying that a document has been issued by the entity named in a documentary credit.

> When a credit requires a document to be issued by a named person or entity, this condition is satisfied when the document appears to be issued by the named person or entity by use of its letterhead, or when there is no letterhead, when the document appears to have been completed or signed by, or for [or on behalf of], the named person or entity.

ISBP 745, paragraph A21, provides guidance regarding the language in which documents are issued.

> a. When a credit stipulates the language of the documents to be presented, the data required by the credit or UCP 600 are to be in that language.
>
> b. When a credit is silent with respect to the language of the documents to be presented, the documents may be issued in any language.
>
> c. i. When a credit allows two or more acceptable languages, a confirming bank or a nominated bank acting on its nomination may restrict the number of acceptable languages as a condition of its engagement in the credit, and in such a case the data contained in the documents are only to be in the acceptable language or languages.
>
> ii. When a credit allows a document to contain data in two or more acceptable languages and a confirming bank or a nominated bank acting on its nomination does not restrict the language or the number of acceptable languages as a condition of its engagement in the credit, it is required to examine the data in all of the acceptable languages appearing in the documents.
>
> d. Banks do not examine data that have been inserted in a language that is additional to that required or allowed in the credit.
>
> e. Notwithstanding paragraphs A21 (a) and (d), the name of a person or entity, any stamps, legalization, endorsements or similar, and the pre-printed text shown on a document, such as, but not limited to, field headings, may be in a language other than that required in the credit.

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ISBP 745, paragraph A22, states that a document examiner is not responsible for verifying the accuracy of any mathematical calculation evidenced by documents, but will rely solely on the totals shown as being produced from the outcome of such calculation.

When the presented documents indicate mathematical calculations, banks only determine that the stated total in respect of criteria such as amount, quantity, weight or number of packages, does not conflict with the credit or any other stipulated document.

ISBP 745, paragraphs A24 and A25, state how standard practice should be applied when documents are presented with multiple pages, attachments or riders, and to the signing or endorsing of such documents.

A24) When a document consists of more than one page, it must be possible to determine that the pages are part of the same document. Unless a document provides otherwise, pages which are physically bound together, sequentially numbered or contain internal cross references, however named or titled, will meet this requirement and are to be examined as one document, even if some of the pages are regarded as an attachment or rider.

A25) When a signature or endorsement is required to be on a document consisting of more than one page, and the credit or the document itself does not indicate where a signature or endorsement is to appear, the signature or endorsement may appear anywhere on that document.

ISBP 745, paragraph A26, refers to non-documentary conditions and the fact that if a non-documentary condition is complied with by the beneficiary, the data appearing on the stipulated documents must not conflict with the non-documentary condition.

When a credit contains a condition without stipulating a document to indicate compliance therewith ("non-documentary condition"), compliance with such condition need not be evidenced on any stipulated document. However, data contained in a stipulated document are not to be in conflict with the non-documentary condition. For example, when a credit indicates "packing in wooden cases" without indicating that such data is to appear on any stipulated document, a statement in any stipulated document indicating a different type of packing is considered to be a conflict of data.

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ISBP 745, paragraphs A27–A31, cover the issue of determining an original document, the number of originals that need to be presented and the requirements for copy documents.

A27) A document bearing an apparently original signature, mark, stamp or label of the issuer will be considered to be an original unless it states that it is a copy. Banks do not determine whether such a signature, mark, stamp or label of the issuer has been applied in a manual or facsimile form and, as such, any document bearing such method of authentication will satisfy the requirements of UCP 600 article 17.

A28) Documents issued in more than one original may be marked "Original", "Duplicate", "Triplicate", "First Original", "Second Original", etc. None of these markings will disqualify a document as an original.

A29) a. The number of originals to be presented is to be at least the number required by the credit or UCP 600.

b. When a transport document or insurance document indicates how many originals have been issued, the number of originals stated on the document is to be presented, except as stated in paragraphs H12 and J7 (c).

c. When a credit requires presentation of less than a full set of original transport documents, (for example, "2/3 original bills of lading"), but does not provide any disposal instructions for the remaining original bill of lading, a presentation may include 3/3 original bills of lading.

d. When a credit requires, for example, presentation of:

i. "Invoice", "One Invoice", "Invoice in 1 copy" or "Invoice – 1 copy", it will be understood to be a requirement for an original invoice.

ii. "Invoice in 4 copies" or "Invoice in 4 fold" will be satisfied by the presentation of at least one original invoice and any remaining number as copies.

iii. "photocopy of invoice" or" copy of invoice" will be satisfied by the presentation of either a photocopy, copy or, when not prohibited, an original invoice.

iv. "photocopy of a signed invoice" will be satisfied by the presentation of either a photocopy or copy of the original invoice that was apparently signed or, when not prohibited, a signed original invoice.

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A30) a. When a credit prohibits the presentation of an original document by stating, for example, "photocopy of invoice – original document not acceptable in lieu of photocopy" or the like, only a photocopy of an invoice or an invoice marked copy is to be presented.

b. When a credit requires the presentation of a copy of a transport document and indicates a disposal instruction for all originals of that document, a presentation is not to include any original of such document.

A31) a. Original documents are to be signed when required by the credit, the document itself (except as stated in paragraph A37) or UCP 600.

b. Copies of documents need not be signed nor dated.

ISBP 745, paragraphs A32–A34, explain how documents will be examined with regard to shipping marks.

A32) When a credit specifies the details of a shipping mark, documents mentioning the shipping mark are to show those details. The data in a shipping mark indicated on a document need not be in the same sequence as those shown in the credit or in any other stipulated document.

A33) A shipping mark indicated on a document may show data in excess of what would normally be considered a "shipping mark", or which is specified in the credit as a "shipping mark", by the addition of information such as, but not limited to, the type of goods, warnings concerning the handling of fragile goods or net and gross weight of the goods.

A34) a. Transport documents covering containerized goods often only show a container number, with or without a seal number, under the heading "Shipping mark" or similar. Other documents that show a more detailed marking will not be in conflict for that reason.

b. The fact that some documents show additional information as mentioned in paragraphs A33 and A34 (a), while others do not, will not be regarded as a conflict of data under UCP 600 sub-article 14 (d).

ISBP 745, paragraphs A35–A38, cover the signature requirements for documents presented under a documentary credit.

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A35) a. A signature, as referred to in paragraph A31 (a), need not be handwritten. Documents may also be signed with a facsimile signature (for example, a pre-printed or scanned signature), perforated signature, stamp, symbol (for example, a chop) or any mechanical or electronic method of authentication.

b. A requirement for a document to be "signed and stamped" or a similar requirement is satisfied by a signature in the form described in paragraph A35 (a) and the name of the signing entity typed, stamped, handwritten, pre-printed or scanned on the document, etc.

c. A statement on a document such as "This document has been electronically authenticated" or "This document has been produced by electronic means and requires no signature" or words of similar effect does not, by itself, represent an electronic method of authentication in accordance with the signature requirements of UCP 600 article 3.

d. A statement on a document indicating that authentication may be verified or obtained through a specific reference to a website (URL) constitutes a form of electronic method of authentication in accordance with the signature requirements of UCP 600 article 3. Banks will not access such websites to verify or obtain authentication.

A36) a. A signature on the letterhead paper of a named person or entity is considered to be the signature of that named person or entity unless otherwise stated. The named person or entity need not be repeated next to the signature.

b. When a signatory indicates it is signing for [or on behalf of] a branch of the issuer, the signature will be considered to be that of the issuer.

A37) The fact that a document has a box, field or space for a signature does not in itself mean that such box, field or space is to be completed with a signature. For example, a signature is not required in the space titled "Signature of shipper or their agent" commonly found on an air waybill or "Signature of shipper" on a road transport document. Also see paragraph A17 in respect of the requirements for data to appear in a box, field or space.

A38) When a document includes wording such as "This document is not valid unless countersigned [or signed] by (name of the person or entity)" or words of similar effect, the applicable box, field or space is to contain a signature and the name of the person or entity that is countersigning the document.

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ISBP 745, paragraphs A39–A41, relate to the title of documents and the situation if combined documents are presented or required.

> A39) Documents may be titled as called for in the credit, bear a similar title or be untitled. The content of a document must appear to fulfil the function of the required document. For example, a requirement for a "Packing List" will be satisfied by a document containing packing details whether it is titled "Packing List", "Packing Note", "Packing and Weight List", etc., or bears no title.
>
> A40) Documents required by a credit are to be presented as separate documents. However, and as an example, a requirement for an original packing list and an original weight list will also be satisfied by the presentation of two original combined packing and weight lists, provided that such documents state both packing and weight details.
>
> A41) A document required by a credit that is to cover more than one function may be presented as a single document or separate documents that appear to fulfil each function. For example, a requirement for a Certificate of Quality and Quantity will be satisfied by the presentation of a single document or by a separate Certificate of Quality and Certificate of Quantity provided that each document appears to fulfil its function and is presented in the number of originals and copies as required by the credit.

Documents not to be in conflict with one another The need for documents to contain data not in conflict with one another is explained in section 13.3.4.

Documents not stipulated by the documentary credit If additional documents are presented to those stipulated in the documentary credit, they are not to be examined and may be returned to the presenter. The nominated bank may choose or agree to send such documents to the issuing bank without any responsibility on its part.

Non-documentary conditions A condition should not be stipulated in a documentary credit if it is not specific to a document that is to be presented. If such a condition is stipulated, it should be disregarded by a document examiner.

Under **UCP 600, sub-article 14(h)**, a non-documentary condition will be disregarded.

> **h.** If a credit contains a condition without stipulating the document to indicate compliance with the condition, banks will deem such condition as not stated and will disregard it.

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This non-documentary data in the documentary credit, if indicated on any stipulated document, will, however, be subject to review, according to **UCP 600, sub-article 14(d)**.

> **d.** Data in a document, when read in context with the credit, the document itself and international standard banking practice, need not be identical to, but must not conflict with, data in that document, any other stipulated document or the credit.

13.3.3.2 Determining compliance on the basis of the documents alone

It is the document examiner's review of the documents alone that determines whether or not the presentation is compliant according to UCP 600, sub-article 14(a). A document examiner must not be influenced in his or her examination of documents by any other factor, with the exception of clear and established fraud or regulatory requirements. If documents are found to comply, the bank, if acting as a confirming bank or issuing bank, is obligated to take up the presentation and to provide reimbursement or settlement in accordance with instructions as received. If documents are found not to be compliant, a document examiner may choose to refuse the documents, in which case his or her actions in such circumstances are covered in Chapter 18 and by UCP 600, article 16.

Note: Depending upon the value or type of presentation, a bank may require more than one document examiner to examine the documents.

13.3.3.3 A disclaimer on the effectiveness of the documents

UCP 600, article 34, provides a disclaimer for banks in respect of the content and issuer of documents presented.

> A bank assumes no liability or responsibility for the form, sufficiency, accuracy, genuineness, falsification or legal effect of any document, or for the general or particular conditions stipulated in a document or superimposed thereon; nor does it assume any liability or responsibility for the description, quantity, weight, quality, condition, packing, delivery, value or existence of the goods, services or other performance represented by any document, or for the good faith or acts or omissions, solvency, performance or standing of the consignor, the carrier, the forwarder, the consignee or the insurer of the goods or any other person.

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13.3.3.4 Determining the acceptability regarding the issuer, originality and authentication of the documents

UCP 600, article 3 ('Interpretations') permits any issuer other than the beneficiary to issue a document under the conditions specified therein.

> […]
>
> Terms such as "first class", "well known", "qualified", "independent", "official", "competent" or "local" used to describe the issuer of a document allow any issuer except the beneficiary to issue that document.
>
> […]

UCP 600, article 17, relates to the originality of documents.

> **a.** At least one original of each document stipulated in the credit must be presented.
>
> **b.** A bank shall treat as an original any document bearing an apparently original signature, mark, stamp, or label of the issuer of the document, unless the document itself indicates that it is not an original.
>
> **c.** Unless a document indicates otherwise, a bank will also accept a document as original if it:
>
> **i.** appears to be written, typed, perforated or stamped by the document issuer's hand; or
>
> **ii.** appears to be on the document issuer's original stationery; or
>
> **iii.** states that it is original, unless the statement appears not to apply to the document presented.
>
> **d.** If a credit requires presentation of copies of documents, presentation of either originals or copies is permitted.
>
> **e.** If a credit requires presentation of multiple documents by using terms such as "in duplicate", "in two fold" or "in two copies", this will be satisfied by the presentation of at least one original and the remaining number in copies, except when the document itself indicates otherwise.

Reference should also be made to ISBP 745, paragraphs A27–A31. The content of **ISBP 745, paragraph A27**, acts as the formal guidance for the determination of an original document.

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A27) A document bearing an apparently original signature, mark, stamp or label of the issuer will be considered to be an original unless it states that it is a copy. Banks do not determine whether such a signature, mark, stamp or label of the issuer has been applied in a manual or facsimile form and, as such, any document bearing such method of authentication will satisfy the requirements of UCP 600 article 17.

13.3.4 Examining the documents against one another

Examining documents with reference to one another is the third part of the examination process that a document examiner undertakes. This is performed in conjunction with the examination of documents with reference to the terms and conditions of the documentary credit and to the application of international standard banking practice, as provided by the relevant articles of UCP 600 and any explanatory paragraphs of ISBP 745.

UCP 600, sub-article 14(d), requires that data appearing in a document must not be in conflict with other data appearing on that document, any other stipulated document or the documentary credit itself. If data in documents is found to be in conflict, the documents are to be regarded as discrepant.

Example

An analysis certificate that shows potassium content at 5 per cent, as required by the documentary credit, while a transport document provides evidence of potassium content at 8 per cent (even though the documentary credit does not require this detail to be shown on the transport document).

In such circumstances, the data on the transport document will be considered to be in conflict with that shown on the analysis certificate.

13.3.5 Extending the expiry date or last day for presentation

If no separate latest shipment date is specified, the latest shipment date is automatically understood to be the same as the expiry date of the documentary credit.

If the expiry date falls on a non-banking day, other than as referred to in UCP 600, article 36, the expiry date is extended to the next banking day. However, this does not apply to the latest shipment date.

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UCP 600, **article 29**, provides as follows.

a. If the expiry date of a credit or the last day for presentation falls on a day when the bank to which presentation is to be made is closed for reasons other than those referred to in article 36, the expiry date or the last day for presentation, as the case may be, will be extended to the first following banking day.

b. If presentation is made on the first following banking day, a nominated bank must provide the issuing bank or confirming bank with a statement on its covering schedule that the presentation was made within the time limits extended in accordance with sub-article 29 (a).

c. The latest date for shipment will not be extended as a result of sub-article 29 (a).

13.3.6 Tolerances in credit amount, quantity and unit prices

UCP 600, article 30, provides as follows.

a. The words "about" or "approximately" used in connection with the amount of the credit or the quantity or the unit price stated in the credit are to be construed as allowing a tolerance not to exceed 10% more or 10% less than the amount, the quantity or the unit price to which they refer.

b. A tolerance not to exceed 5% more or 5% less than the quantity of the goods is allowed, provided the credit does not state the quantity in terms of a stipulated number of packing units or individual items and the total amount of the drawings does not exceed the amount of the credit.

c. Even when partial shipments are not allowed, a tolerance not to exceed 5% less than the amount of the credit is allowed, provided that the quantity of the goods, if stated in the credit, is shipped in full and a unit price, if stated in the credit, is not reduced or that sub-article 30 (b) is not applicable. This tolerance does not apply when the credit stipulates a specific tolerance or uses the expressions referred to in sub-article 30 (a).

ISBP 745, paragraphs C11–C14, provide further detail on the application of UCP 600, article 30.

C11) Any total quantity of goods and their weight or measurement shown on the invoice is not to conflict with the same data appearing on other documents.

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C12) An invoice is not to indicate:

a. over-shipment (except as provided in UCP 600 sub-article 30 (b)), or

b. goods, services or performance not called for in the credit. This applies even when the invoice includes additional quantities of goods, services or performance as required by the credit or samples and advertising material and are stated to be free of charge.

C13) The quantity of goods required in the credit may be indicated on an invoice within a tolerance of +/-5%. A variance of up to +5% in the quantity of the goods does not allow the amount demanded under the presentation to exceed the amount of the credit. The tolerance of +/-5% in the quantity of the goods will not apply when:

a. a credit states that the quantity is not to be exceeded or reduced; or

b. a credit states the quantity in terms of a stipulated number of packing units or individual items.

C14) When no quantity of goods is stated in the credit, and partial shipments are prohibited, an invoice issued for an amount up to 5% less than the credit amount will be considered to cover the full quantity and not a partial shipment.

13.3.7 Partial drawings or shipments

UCP 600, article 31, provides as follows.

a. Partial drawings or shipments are allowed.

b. A presentation consisting of more than one set of transport documents evidencing shipment commencing on the same means of conveyance and for the same journey, provided they indicate the same destination, will not be regarded as covering a partial shipment, even if they indicate different dates of shipment or different ports of loading, places of taking in charge or dispatch. If the presentation consists of more than one set of transport documents, the latest date of shipment as evidenced on any of the sets of transport documents will be regarded as the date of shipment.

A presentation consisting of one or more sets of transport documents evidencing shipment on more than one means of conveyance within the same mode of transport will be regarded as covering a partial shipment, even if the means of conveyance leave on the same day for the same destination.

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c. A presentation consisting of more than one courier receipt, post receipt or certificate of posting will not be regarded as a partial shipment if the courier receipts, post receipts or certificates of posting appear to have been stamped or signed by the same courier or postal service at the same place and date and for the same destination.

The provisions of UCP 600, article 31, are amplified by ISBP 745, paragraphs D22 and D23, E18 and E19, F16 and F17, G16 and G17, H18 and H19, and J13 and J14, all of which provide a similar wording for the type of transport document to which they relate.

As an example, **ISBP 745, paragraphs D22 and D23**, relate to multimodal transport documents.

D22) Shipment on more than one means of conveyance (more than one truck [lorry], vessel, aircraft, etc.) is a partial shipment, even when such means of conveyance leaves on the same day for the same destination.

D23) a. When a credit prohibits partial shipment, and more than one set of original multimodal transport documents are presented covering receipt, dispatch, taking in charge or shipment from one or more points of origin (as specifically allowed, or within a geographical area or range of places stated in the credit), each set is to indicate that it covers the carriage of goods on the same means of conveyance and same journey and that the goods are destined for the same destination.

b. When a credit prohibits partial shipment, and more than one set of original multimodal transport documents are presented in accordance with paragraph D23 (a) and incorporate different dates of receipt, dispatch, taking in charge, or shipment, the latest of these dates is to be used for the calculation of any presentation period and must fall on or before the latest date of receipt, dispatch, taking in charge or shipment stated in the credit.

c. When partial shipment is allowed, and more than one set of original multimodal transport documents are presented as part of a single presentation made under one covering schedule or letter and incorporate different dates of receipt, dispatch, taking in charge or shipment, on different means of conveyance, the earliest of these dates is to be used for the calculation of any presentation period, and each of these dates must fall on or before the latest date of receipt, dispatch, taking in charge or shipment stated in the credit.

Partial drawings or shipment are not allowed if the documentary credit specifically prohibits partial drawing or shipment.

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Questions

1. A confirming bank receives documents two days prior to the expiry date. The examination process concludes one day after the expiry date. The confirming bank has refused the presentation because of a conflict of data between the packing list and the invoice. The beneficiary argues that the confirming bank should have examined the documents within the expiry date so that any discrepancies could be corrected (where possible) in advance and so holds the confirming bank liable for failing to examine the documents in a timely manner. The confirming bank argues that it had no obligation to accelerate the examination process. Which of the two is right?

   A. The beneficiary

   B. The confirming bank

2. A documentary credit indicates that documents must be presented within 15 days after the date of shipment, but also indicates 'stale documents are acceptable'. Which of the following statements is true when examining the documents?

   A. The reference to presentation within 15 days after the date of shipment overrides the reference to stale documents being acceptable.

   B. The reference to presentation within 15 days after the date of shipment is overridden by the reference to stale documents being acceptable.

3. 'A credit indicates in Field 44E ("Port of loading / Airport of departure") "Lisbon, Barcelona, Marseille". Field 43P ("Partial shipments") states "Allowed". The requirement is for the beneficiary to effect a shipment from each of the named ports.' Is this statement true or false?

   A. True

   B. False

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4. A documentary credit requires a certificate issued by the beneficiary stating that it has sent a copy of the invoice to the applicant at least two days before the date of shipment. The date of shipment was Thursday 24 July. When was the copy invoice to be sent?

   A. Between 22 and 24 July

   B. Between 20 and 22 July

   C. Any time before 22 July

5. 'The documentary credit requires the presentation of a certificate of analysis issued by a named laboratory. The named laboratory issues the certificate and states at the bottom "This document has been produced by electronic means and requires no signature". The document is acceptable in this form.' Is this statement true or false?

   A. True

   B. False

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